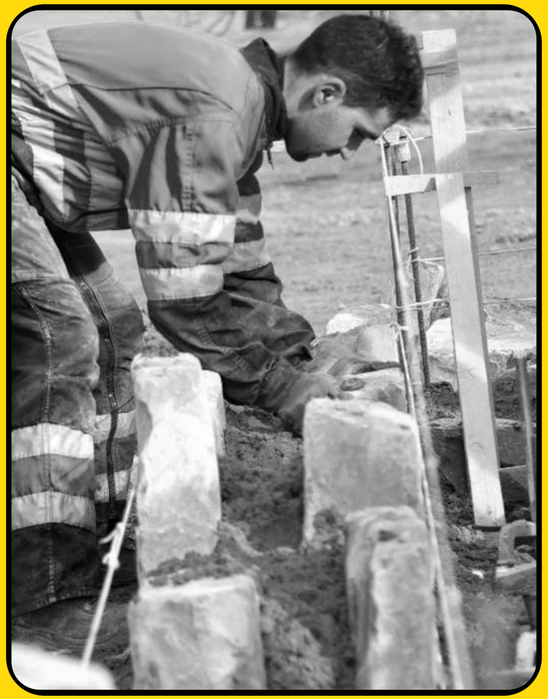
عاجل
AAJIL

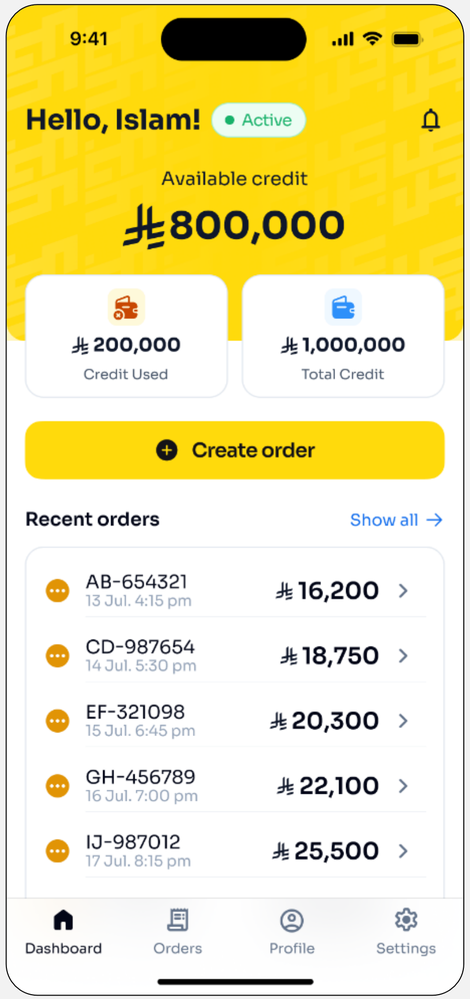


SME Lending Fintech For Industrial Sector in Saudi Arabia

March 2026

Aajil At A Glance

Ultra-short-term liquidity in the form of raw materials sold on credit to SMEs in the industrial sector



MASSIVE TOTAL ADDRESSABLE MARKET	**$48bn** Total Addressable Market	**9%** SME lending out of total lending in Saudi Arabia	**20% - 30%** SME lending out of total lending in developed markets
STATE-OF-THE-ART UNDERWRITING ENGINE POWERED BY DIVERSIFIED AND MODERN TECHNOLOGY STACK	**10** Seconds to upload documents	**Instantaneous** KYB assessment	**<24 hours** Risk assessment
STRATEGIC APPROACH TO RISK MITIGATION GIVING DOWNSIDE PROTECTION	**2.5% - 5.0%** Credit as % of Client Revenue	**100%** of credit covered by promissory notes	**<5%** DPD60+(1)
ON THE GROUND DEDICATED SALES TEAM GENERATING PIPELINE AND ENSURING CLIENT RETENTION	**204** Total Customers Served	**1,136** Credit Transactions	**4 deals** Amount of credit deals a single client takes from us
SUPPORTED BY TIER 1 REGIONAL INSTITUTIONAL INVESTORS AND A SOVEREIGN WEALTH FUND	**64** Employees	**SAR120mn ($30mn)** Assets Under Management	**>SAR340mn (>$90mn)** GMV disbursed to date

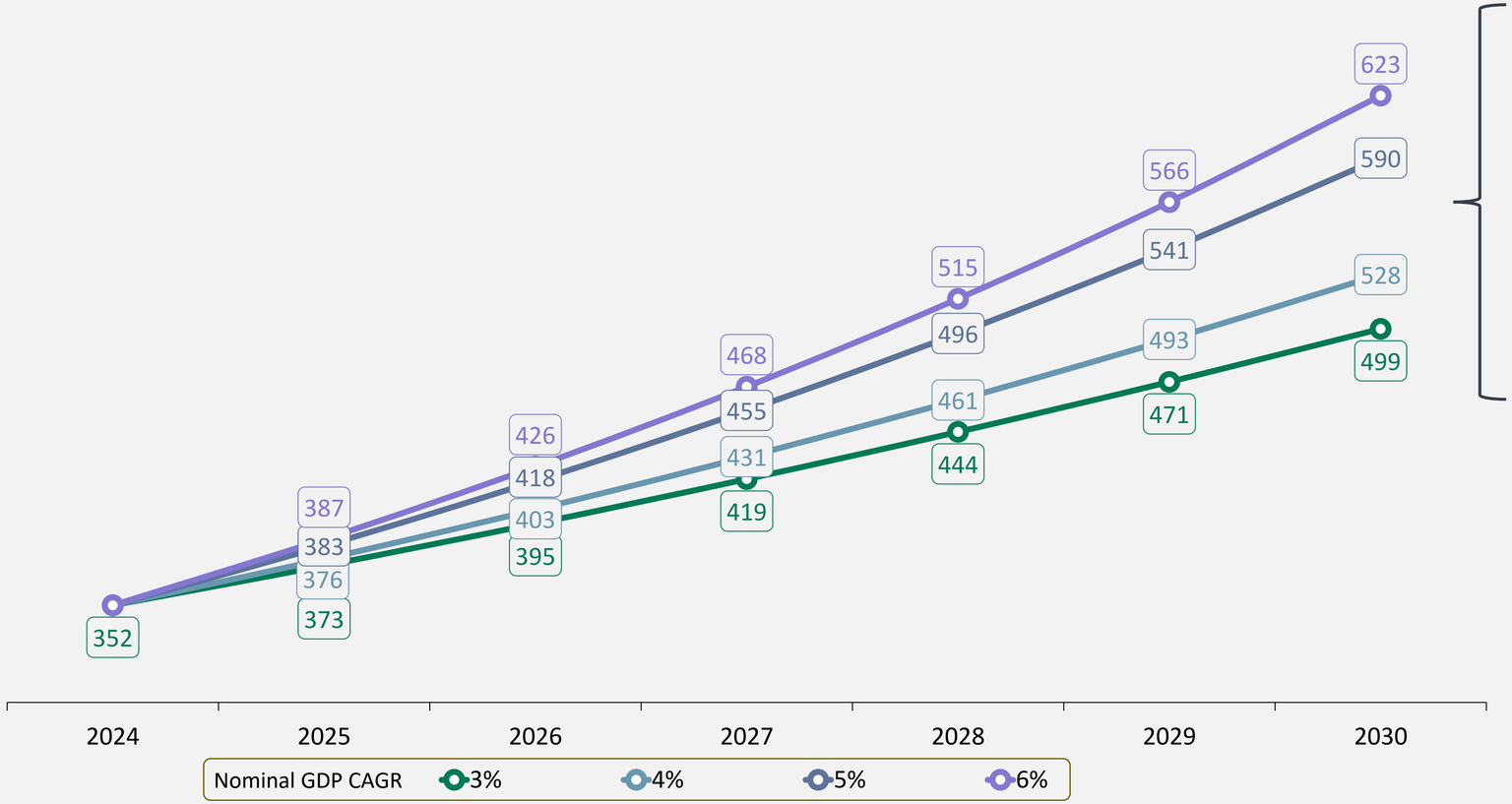
Note: (1) Last twelve months data as of December 2025

Significant Demand For SME Lending In Saudi Arabia

Yet SMEs are still underleveraged

Credit Facilities Provided To Micro, Small And Medium Enterprises

SARbn



- SME is a **key sector** to diversify the economy away from oil dependence and plays a **pivotal role** in the country's Vision 2030 goals
- The KPI is **to grow** SME's contribution to GDP from 21.9% in 2016 to **35% by 2030**
- SMEs contributed **~30% to GDP** as of **2025 (c.50% from manufacturing)**
- If SMEs' contribution to GDP increases to **35% by 2030**, this is expected to generate an **additional SAR 150–270bn in new lending**, depending on the trajectory of **nominal GDP growth**

Source: Goldman Sachs equity research and SAMA's Monthly Statistical Bulletin as of July 2025

Yet SMEs Struggle To Obtain Finance

Lack of financing leads to delays and losses

Suppliers

Credit is not their strength
- No formal credit policies or underwriting
- Limited ability to assess borrower risk

Credit provision governed by relationships and ‘gut-feeling’
- Credit decisions based on trust, not data
- Preference for long-standing or familiar contractors

Suppliers also face cash-flow problems
- Thin margins and rising input costs strain liquidity
- Pressure from upstream vendors (manufacturers, distributors)

Banks

Risk-Averse Lending
- Insufficient collateral
- Limited credit history
- High-risk perception

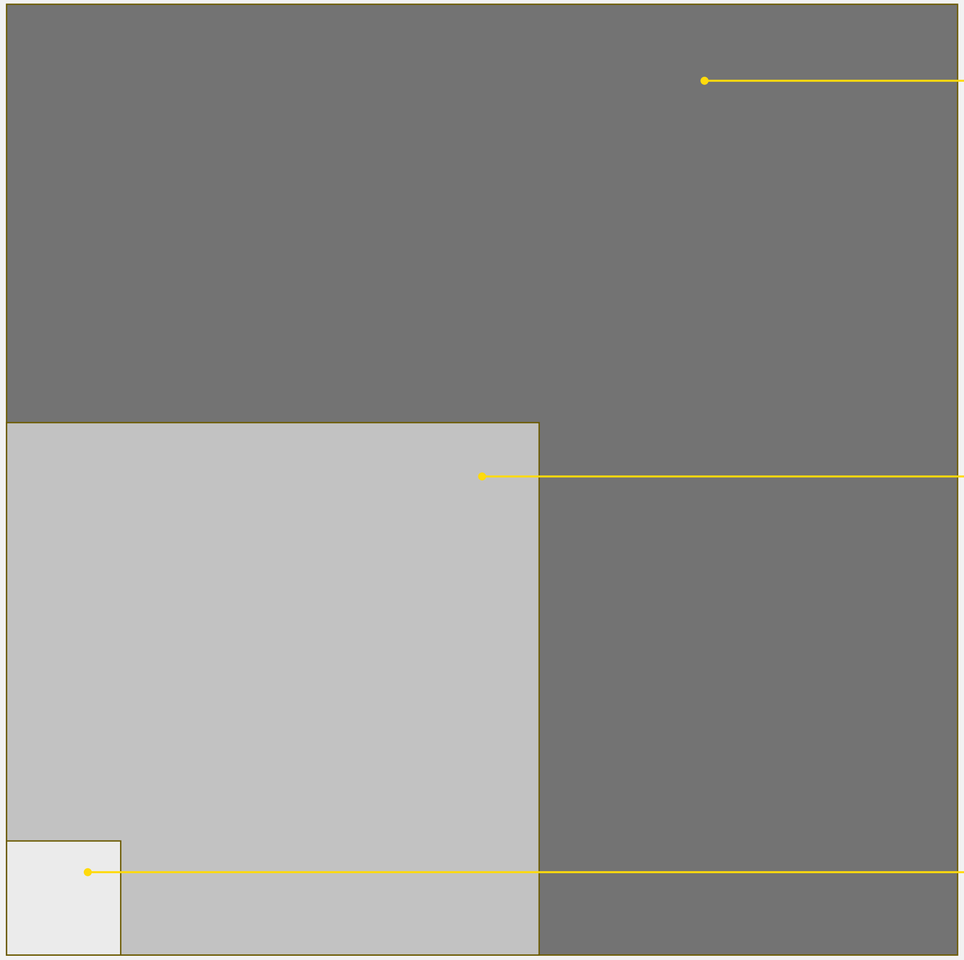
Strict Loan Requirements
- Stringent loan conditions
- On average, businesses need to provide 11 different documents

Complex Application Processes
- Loan application is bureaucratic and time-consuming

Financing options are limited to supplier credit, banks, and NBFCs

High-level View Of The Opportunity In Short-Term Raw Material Financing

Numbers in SAR unless stated otherwise; TAM, SAM, and SOM represent value of loans to be disbursed



TAM: 277bn ($74bn)

- Short-term raw material financing across all sectors based on GaStat's reported OPEX (excl. employee compensation) and assumed % that COGS represent out of the OPEX
- Covering 40% of OPEX spend
- 9% CAGR growth to achieve 2030 TAM

SAM: 150bn ($40bn)

- Only manufacturing (excl. printing, media, repairs), wholesale trading (excl. retail and motor vehicles), and construction selected
- Covering 40% of OPEX spend
- Credit granted 4x times per year
- 9% CAGR growth to achieve 2030 SAM

SOM: 2bn ($0.5bn)

- Same sectors per SAM excl. few industries[1]
- Covering 8% of OPEX spend
- Each credit facility <5% of annual revenue
- Credit granted 3x times per year
- 9% CAGR growth to achieve 2030 SOM
- Assuming Aajil captures 20% market share

Source: GaStat, 2023 data

Note: (1) We excluded textiles, wearing apparel, leather and related products, paper and paper products, chemicals and chemical products, and products and preparations of pharmaceuticals

State-of-the-art Underwriting Engine Powered By Modern Technology Stack

Average credit deployment time of 24 hours[1]

Fast-Track Credit Evaluation

	Credit Request	Document Upload	KYB Assessment	Review & Data Entry	Risk Assessment	Committee Review	Final Decision
Industry Average	1 day	3 days	4 days	2 days	3 days	1 day	
Aajil	-	10 seconds	-	5 minutes	<24 hours	24 hours	
	Initiate a new application	Submit document	Confirm identity and status	Extract key fields	Assess Creditworthiness	Internal Discussion	Approve or Decline

Extensive AI Integration Throughout the Technology Stack

Gemini ✓✓ kubernetes OpenAI ✓✓ neo4j CURSOR ✓✓ POSTMAN HashiCorp Vault NLTK

FastAPI BigQuery docker PostgreSQL Claude ✓✓ Google AI Studio ✓✓

Note: (1) Depending on how quickly customers provide information for our assessment correctly

✓✓ *Indicates an AI tool*

Strategic Approach To Risk Mitigation Giving Downside Protection

Eight risk-optimizing factors designed to enhance asset recovery, ensure returns and mitigate risk

MINIMAL EXPOSURE

Raw Material Exposure at 2.5%-5.0% of Client Revenue

DIVERSIFICATION

Controlled exposure across multiple sectors (manufacturer, contractor, trader)

ASSET-BASED

Purchasing raw materials directly for clients instead of disbursing cash

SHORT DURATION

Average credit tenor of 4-5 months[1] per transaction with a maximum of 6 months credit

ROBUST COLLECTIONS

An entire collections team employing a holistic strategy of automated messages, site visits, calls and legal

PROMISSORY NOTES

Corporate and/or Personal Notes for each issuance equal to 100% of the Receivable amount

CREDIT ASSESSMENT

A blend of comprehensive technical, financial, and legal assessment lead by a Credit Risk Lead

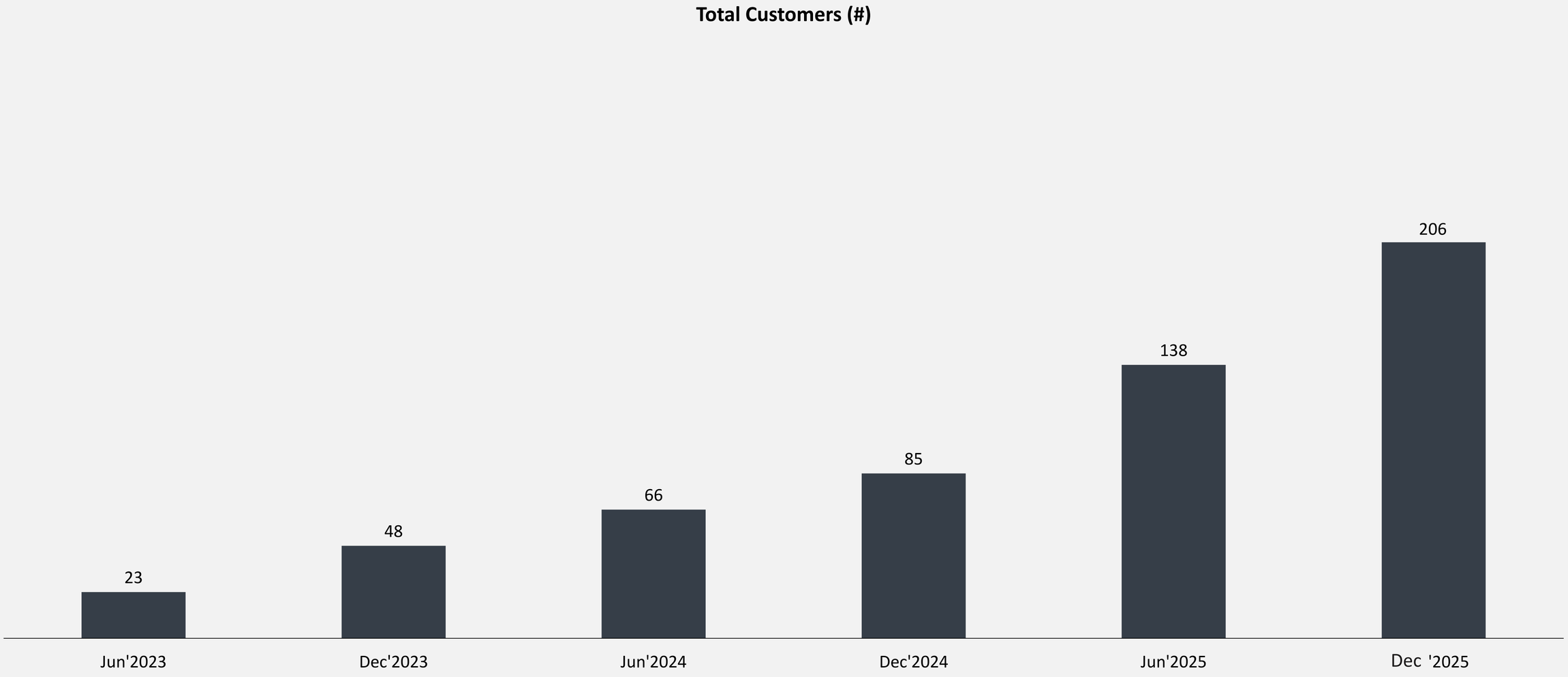
INSTALMENTS

Credit repayment done in instalments, not in a bullet payment at maturity

Note: (1) After switching repayment structure of our credit to instalments

Dedicated Sales Team Generating Pipeline And Ensuring Client Retention

Accelerated momentum and conviction



Explosive Organisation Growth Supported By Tier 1 Institutional Investors

Significant strategic progress since inception

2022	2023	2024	2025
SAR14mn ($4mn) GMV	**SAR75mn ($20mn) GMV**	**SAR156mn ($42mn) GMV**	**>SAR320mn (>$85mn) GMV**
$1mn pre-seed round Accepted into Taqadam! Grew to 10 people	Closed seed round Strategic partnership with Dinar Grew to 20 people	Hired a Credit Risk Lead and established a collections department Raised debt from STV and Al-Raedah Raised a bigger debt facility from Arbah Capital	Changed repayment structure of our credit to instalments Grew to >60 people

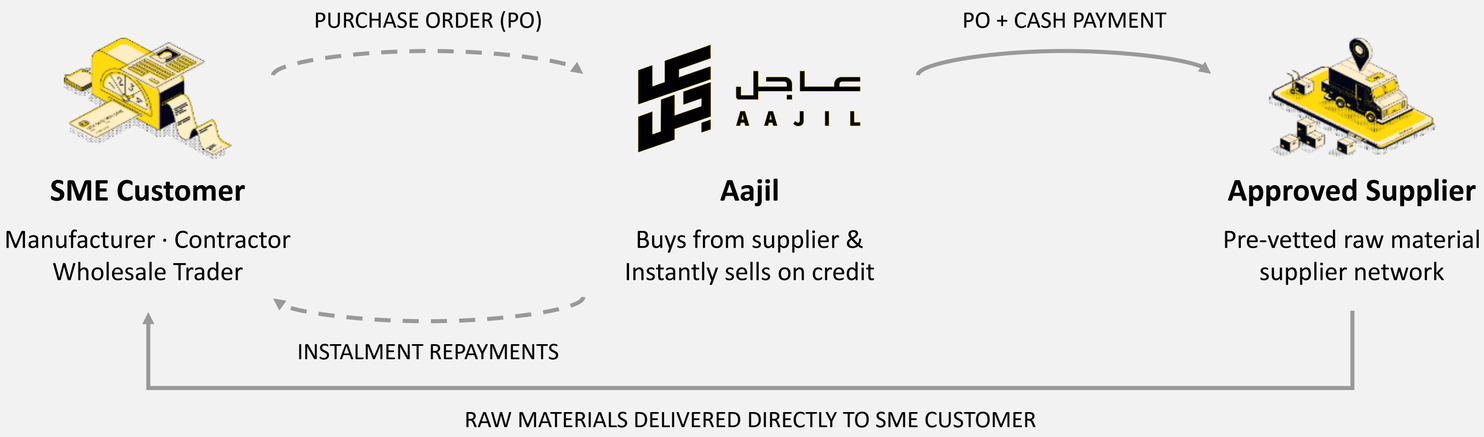
Institutional Backers

Note: GMV is cumulative

Business Model

We Buy And Instantly Sell Raw Materials On Credit

Proprietary Technology Enabling Credit Disbursement in 24 Hours



POWERED BY PROPRIETARY TECHNOLOGY INFRASTRUCTURE

R-Square	A unified platform powering collections operations
A-Square	End-to-end deal orchestration platform replacing manual workflows
C-Square	Centralised credit data infrastructure for underwriting intelligence
Basirah Intelligence	AI engine extracting structured insights from financial documents
KYB application	Streamlined KYB onboarding for fast SME client qualification
Web-platform	Aajil web platform enabling seamless SME financing workflows

Commentary

- **Asset-light structure.** Aajil never takes title to inventory beyond the instant of transaction — raw materials flow directly from supplier to SME, eliminating warehouse and stock risk entirely.
- **Revenue locked at origination.** Margin and admin fee are embedded in the invoice at point of deal — not contingent on end-use or project completion.

Core BNPL – Product Overview

Flexible, cash-flow–aligned revolving credit for SME working capital

Target Borrowers Manufacturers, Contractors & Traders	**Target Borrowers' Turnover** SAR400,000 – 200,000,000	**Target Underwriting Time** 24 – 36 hours
Credit Facility Size SAR100,000 – 2,000,000[1]	**Facility Tenure** 30 – 180 days[2]	**Repayment Timing** Monthly / bi-monthly / quarterly
Target Monthly Margin 1.5% - 4.0%	**Target Admin Fee** 1.0% - 1.5%	

Credit Structure Design

Asset-Based	Instalments	Minimal Exposure	Promissory Notes
Purchasing raw materials directly for clients instead of disbursing cash	Credit repayment in **instalments**, not in a bullet payment at maturity	Raw Material Exposure at **2.5% - 5.0% of Client Revenue** or **SAR2mn**	**Corporate and Personal Promissory Notes** equal to **100% of Receivable amount**
Reducing risk of cash misappropriation	Allows **early spotting** of repayment problems	Given AUM, **reduces risk** of loan concentration	Helps to **influence customer repayment behaviour**

Commentary

- **Revolving credit model:** SMEs are assessed once and receive a credit limit they can draw from repeatedly; repayments restore available credit, enabling instant drawdowns and limit increases over time
- **Flexible repayment vs traditional lenders:** Traditional fintech lenders require fixed monthly instalments (calendar-driven), while Aajil aligns repayments with the SME's cash collection cycle (cash-flow-driven), reducing cash flow mismatch and default risk.

Note: (1) Recently we increased the upper limit to SAR4,000,000 for certain customers to meet high demand; (2) Recently we increased the tenor to 365 days for certain customers to meet high demand

How Are We Different

Assessed once. Buy repeatedly. Repay on your cash flow cycle.

	Banks TRADITIONAL LENDERS	Traditional BNPL B2B FINTECH LENDERS	Aajil B2B REVOLVING CREDIT
Credit Structure How credit is extended	**Partial** Revolving lines available, but rigid collateral requirements and slow underwriting cycles	**Per Transaction** Re-assessed on every purchase — no persistent credit limit, friction on every deal	**True Revolving Facility** Assessed once. Issued a credit limit. SMEs can buy as much as they need, as often as they need provided, they repay on time
Speed to Disburse From application to cash	**Months** Branch visits, paper docs, committee approvals — typically 4–8 weeks per facility	**Days per Deal** Faster than banks but assessed per transaction — days of friction on every new purchase	**< 24 Hours** One-time onboarding in under 24 hours. Subsequent drawdowns execute same day — no re-assessment
Repayment Terms How repayments are structured	**Fixed Monthly** Equal monthly instalments — rigid schedule regardless of when the SME receives payment from its customers	**Fixed Monthly** Structured instalment schedule tied to calendar, not to the borrower's actual cash conversion cycle	**Cash Flow-Aligned** Repayment frequency mirrors the customer's cycle
Target Customer Who the product is built for	**Broad Market** Serve all segments	**Broad Market** Serve all segments	**Industrial SMEs** Purpose-built for Saudi industrial supply chain
Digital Experience Paperwork & branch requirements	**Branch-Dependent** Significant in-person requirements, wet signatures, physical document submission	**Fully Digital** Digital front-end but often manual back-office processing and document handling	**Fully Digital** End-to-end via web platform and SMS — biometric e-signatures, zero branch visits, zero paperwork

Decomposing Our Deal Mechanics

Using a 6-month credit deal as an example

Price of raw materials
SAR600,000

Underwriting gives a credit limit of SAR1,000,000 for a customer

Customer submits a request for SAR600,000 worth of steel repaid over 6 months

Admin fee
SAR90,000

Based on risk assessment, our underwriting suggests a 2.5% monthly cost of debt

If underwriting agreed to a 6 months deal, total mark-up sums up to 15%

Origination fee
SAR9,000

Based on underwriting and risk assessment, the origination fee is 1.5%

The fee is applied to the initial price of raw materials of SAR600,000

Output VAT
SAR104,850

Since we buy steel, we pay VAT of 15% on SAR699,000 and this is also cash outflow

On top, we pay the delta between output and input VAT to the government

Total value of a deal is SAR803,850
SAR600,000 + SAR90,000 + SAR9,000 + SAR104,850

SAR268k
Invoice #1

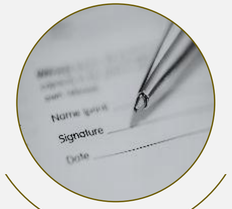
SAR268k
Invoice #2

SAR268k
Invoice #3

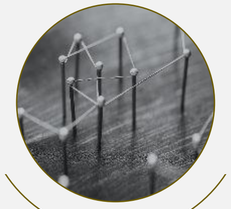
We Pay VAT To The Government In Cash Upon Successful Underwriting

The government pays the VAT back even if a customer defaults

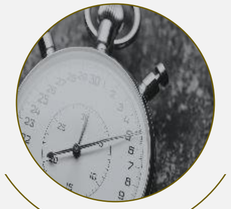
Eligibility to recover VAT on unpaid invoices



VAT has already been paid to the ZATCA on the taxable supply and reported in a previous VAT return



The **supply was made to a non-related person** (i.e., not to a related party)



At least **12 months have passed** from the date of the original taxable supply

The **unpaid amount has been written off** in your accounting books and certified by a **certified accountant**

If the **unpaid amount exceeds SAR 100,000**, you must have taken **formal legal recovery actions** (e.g. a court case, bankruptcy evidence, or judicial ruling) and be able to provide proof that recovery efforts failed

Source: Saudi Arabian Zakat, Tax and Customs Authority – implementing regulations of the value added tax law pdf document

Current End-to-End Customer Journey Follows A 10 Steps Process

Client Qualification

STEP 01 · REGISTRATION

Customer Registration

- SMS verification — identity confirmed instantly
- Instantaneous KYB — business status verified

STEP 02 · DOCUMENTATION

Onboarding Documentation

- Bank statements — parsed by Basirah AI
- VAT reports + SIMAH
- Project contracts, AFS, legal & compliance docs
- Secure portal upload

Order Fulfillment & Settlement

STEP 03 · CREDIT REVIEW

Five-Phase Credit Review

- Legal — SIMAH, court records, compliance check
- Financial — margins, liquidity, loan-to-revenue
- Technical — ops, pipeline, execution risk score

STEP 04 · QUOTATION

Quotation Submission

- Uploads supplier's quotation to Aajil portal
- Selects tenure & frequency
- Drawdown within pre-approved revolving limit
- No re-underwriting for returning customers

STEP 05 · APPROVAL

Quotation Approval

- Credit team validates deal vs. limit & risk policy
- Supply chain verifies supplier & pricing
- Monthly margin + origination fee communicated

STEP 06 · SIGN

Agreements Signed

- Commercial Agreement — digital SMS signing
- PN — corporate + personal guarantee, biometric
- 100% paperless — no branch, no wet signature
- Legally enforceable; SIMAH consequences disclosed

STEP 07 · PURCHASE ORDER

PN Issuance

- Customer sends PO mirroring signed agreement
- Deal logged on credit tape — 100% PN coverage
- Corporate PN: company operations can be frozen

STEP 08 · PAYMENT

Verification & Payment

- Aajil independently verifies supplier identity
- 90% advance paid directly to supplier
- Cash never disbursed to SME — no fraud risk
- Zero inventory held on Aajil balance sheet

STEP 09 · DELIVERY

Goods Received

- Supplier delivers direct to SME — no warehousing
- Inspection Note signed digitally on receipt

STEP 10 · REPAYMENT

Customer Repayment

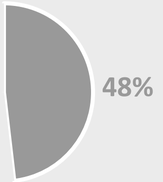
- Instalment repayments — cash-flow aligned, not bullet
- Credit limit auto-revolves on each payment received
- Collections team + legal on standby post DPD0

Spreading Risk Through Sector Diversification

Having SIDF as an investor ensures we stay balanced across the entire industrial supply chain

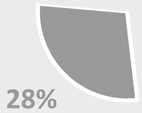
Contractors

- Minimum 1 year of operations (2+ years preferred)
- Minimum 3 active projects for risk diversification
- Complete financial package including project contracts and progress reports



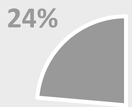
Manufacturers

- Demonstrated manufacturing capacity and quality systems
- Diversified customer portfolio
- Stable supplier relationships and inventory management systems
- Established market presence



Wholesale Traders

- Established relationships with reliable suppliers
- Long-term relationships with own customers
- Efficient inventory management and distribution capabilities



Note: Based on FY2024 credit deployment data

A-Square: Proprietary Deal Orchestration Engine

A foundational step in our automation roadmap, delivering massive improvements in speed, security, and scalability

Our custom-built deal orchestration platform, purpose-designed to replace manual workflows, digitize legacy paperwork, and centralise all deal data within our own secure system

Security
Deal data now stays in-house – no third-party reliance

Speed
Deal processing dropped from 80 hours to 2 hours per deal

Accuracy
Removing human error from document prep and validation

Early Impact (First 20 days)

Metric	Result
Deals Processed	✓ 30+
Processing Time	✓ From 80h to <2h
Manual Handoffs Eliminated	✓ 100%
Paper Documents Replaced	✓ 100%
Biometric E-signatures	✓ Fully implemented

Outcomes Delivered

1. **Deal centralisation**: All deal data now handled internally – no reliance on legacy or third-party systems
2. **Time to close**: Substantially faster – some deals now processed end-to-end in under an hour
3. **Legal robustness**: Biometric verification on documents → stronger legal enforceability
4. **Scalable architecture**: We can expand modules weekly without vendor bottlenecks
5. **Auditability**: Every workflow is logged, traceable, and fully automated with retry mechanisms

We heavily leverage modern tech stack for tech development

FastAPI · CELERY · carbone · SENTRY · redis · django · django REST framework · PostgreSQL

Sales and Marketing

Industrial Sector Requires a Differentiated Approach to Sales and Marketing

Focused GTM strategy specifically designed for Industrial SMEs

Key Common Characteristics of Industrial ICP Companies	Aajil: the leading innovative liquidity solution for industrial SMEs
Require specialised marketing initiatives focused on raw materials, not cash	Product is asset-based; emphasis is specifically on provision of raw materials, not cash
Prefer relationship-driven engagement	2/3 of Aajil's sales are driven by outbound prospecting, field sales & referrals
Clustered in industrial zones	On-the-ground sales team make it easy to engage with Aajil
Often have a single decision maker	Account executives are focused on building relationships with key decision makers
Under-digitized	Sales team walks clients through all steps of registering with Aajil and applying for credit

Aajil combines digital lead generation initiatives with relationship-based prospecting and on-the-ground sales effort

Multi-channel acquisition strategy

Built around five primary sales motions

Sales motions

% of sales from sales motion

Performance Marketing

- **Digital campaigns** generate inbound interest from SME owners seeking working capital
- Primary channels include:
  - Meta
  - Snapchat
- Inbound leads are qualified by SDRs
- This motion currently generates approximately **30–40% of new clients**

34%

Outbound Prospecting

- Outbound prospecting targets **companies that match the ICP**
- Lead lists are sourced from:
  - Government contractor registries
  - B2B prospecting platforms
  - Industry datasets
  - Business directories
- Outreach primarily occurs through cold calling

33%

Field Sales

- Field sales plays a critical role in reaching companies operating in **physical industrial ecosystems**
- Activities include:
  - Visiting contractor clusters
  - Meeting traders in industrial markets
  - Engaging business owners directly
  - Building local trust and relationships
- These face-to-face interactions **significantly increase conversion rates among SMEs**

8%

Referral Networks

- Referrals generate **high-quality leads** through supply-chain relationships
- Sources include:
  - Existing customers
  - Suppliers
  - Financial consultants
  - Employee networks
- Because supply chains are tightly interconnected, referrals often create **network expansion effects**

25%

Our full end-to-end customer cycle is about 30 days

If a customer supplies all documents at once without mistakes, onboarding and approval can take 1 day

1 Lead Generation

- Sources include marketing, outbound prospecting, referrals, and field sales

Marketing team

2 Lead qualification

- Reaching out to inbound & outbound leads
- Client visits to explain services

Sales development representatives

3 Client onboarding

- Collect documentation and prepare the application

Account executives

4 Credit evaluation

- Underwriting and credit report
- For smaller facilities (≤ SAR 400K), the credit lead can approve directly
- Larger facilities require CDC review

Credit team

5 Approval

- The client receives an approved credit line

Credit Decision Committee

6 Deal Activation

- The AE works with the client to execute the first transaction

Account executives, supply chain team

7 Collections

- Follow up with clients ahead of first payment due date

Collections team

8 Transaction Rotation

- Clients repeatedly draw down and repay their credit lines

Account executives, supply chain team

Customer Testimonials

Sales team delivers exceptional level of service tailored to the needs of ICP clients

ASH Cables
كابلات الشرقية
Asharqiyah Cables

Manufacturer

What distinguishes Aajil is its responsiveness.
*It was **very fast**… From the start of the call until the payment to the supplier was completed, it did not exceed three days*

ACET SOLUTIONS

Contractor

*They were **clear in terms of the nature of the support they provide and clear about what their requirements were**…*
*The supply process was also **very fast***

CSLCCB
CONSTRUCTION & FIT-OUT

Contractor

*It took **less than five days** from when we started the application to when we completed the supply process… It was a **fantastic and fast experience**`*

CHEMI
شركة هيمي المحدودة
HERGEM ELECTRO MECHANICAL INTERNATIONAL LTD

Contractor

*The process was **quick and easy**, and the **staff handling the order were prompt**; my paperwork was completed with their help …*
***The service was fast** … the service I received matched exactly what I was told*

مصنع السخان الوطني
National Heater factory

Manufacturer

*The **employees are excellent**,*
*the **customer service is excellent***

Majd Al-Maali Trading & Contracting Company

Trader & Contractor

***The procedures are easy**, and honestly, the representative does 60-70% percent of the work …*
***I dealt with the representative 90% of the time**, not through the website*

Sales And Marketing Team Structure

Dedicated team led

Highly experienced and on-the-ground sales team

Sales Manager

RevOps Manager

Sales Development Reps

- Managing inbound leads generated through marketing campaigns
- Contacting inbound leads
- Conducting initial discovery
- Registering qualified companies
- Passing qualified prospects to the sales team

Business Development Reps

- Expanding the pipeline through proactive outreach
- Retargeting inactive leads within the CRM
- Outbound prospecting
- Cold calling potential ICP companies

Account Executives

- Converting qualified prospects into active customers
- Managing onboarding, collecting financial documents and submitting applications for underwriting
- Driving deal activation
- Encouraging repeat usage

Marketing Team

Demand Generation

Marketing Support

Digital/Graphics

- Managing digital campaigns

Underwriting and Collections

Combined Underwriting and Collections Team

Professional underwriting team in charge of risk assessment

Underwriting and Collections Team

Operations Lead

Credit Risk Lead

Credit Risk Support Officer

Credit Risk Support Officer

Collections Support Officer

Collections Support Specialist

External Legal Team Support

Commentary

- **Operations Lead** designs credit policies and processes, and deals with escalations from the collections team

Underwriting Team

- **Credit Risk Lead** with **over 14 years of diverse experience** in the banking and finance sectors across the UAE, Palestine and KSA, based in our office in Riyadh and responsible for **overseeing underwriting and presenting recommendations to the Credit Decision Committee ("CDC")**
- **Two Credit Risk Support Officers** working remotely and responsible for ensuring we received all documents that we requested and entering the data into our systems

Collections Team

- Our collections team is based in our office in Riyadh
- **Collections Support Officers** take care of routine and ad-hoc tasks and are responsible for making customer calls and taking care of follow-ups
- **Collections Support Specialists** handle complex situations

- **External Legal Team Support** oversees legal cases in court

State-of-the-art Underwriting Engine Powered By Modern Technology Stack

4 UNDERWRITING STAGES

Sales Screening → Risk Assessment → Credit Report → Credit Decision Committee

POWERED BY PROPRIETARY TECHNOLOGY INFRASTRUCTURE

AAJIL WEB PLATFORM

- Digital Know Your Business
- Secure document upload
- Up-to-date application tracking

ENABLES CUSTOMER DATA ACQUISITION

Financial statements
Bank statements
Contracts
VAT filings

INFORMATION EXTRACTION

- Information extraction from documents
- Transaction pattern analysis
- Classification of client's transactions

DATA OPS LAYER

Data extraction
Parsing
Enrichment
Cross-checks

CREDIT INTELLIGENCE PLATFORM

- Customer-level intelligence
- AI-driven underwriting model training
- Root cause analysis on defaults

SUPPORTS CREDIT PROCESSES

Policies
Workflows
Governance
Domain knowledge

Our Underwriting Process

Four-stage underwriting process that we are automating in phases

Customer on-boarding via client portal including KYB

Sales team collects necessary documents

Sales Screening

Legal assessment: Verifies documents and compliance to prevent fraud

Financial assessment: Assesses margins, liquidity, and repayment ability

Technical and Behaviour assessments: Reviews operations and projects to gauge execution risk

Risk Assessment

Credit risk lead compiles findings with recommendations, tenure, and profit rates

Inputs from assessments feed risk models for deeper insights

Report supports final credit decision-making

Credit Report

The CDC reviews and approves or rejects credit decisions[1]

Determines credit limits, tenure, pricing, and terms

Credit Decision Committee

Notes: (1) New clients may be approved without CDC referral provided all certain conditions are met

Types Of Risk Assessment

Highly efficient risk assessment process that enables us to deploy faster than banks

	Core Assessment (Standard Process)		Reassessment Process
	Contractor	Manufacturer / Wholesale Trader	All client types
Average Assessment Time	4 hours from complete documentation		30 minutes
Financial Assessment	• Audited Financials (minimum 2 full years)[1] • VAT Reports (last 12 months) • Bank Statements (last 12 months) • SIMAH (Company) • Mulim (Personal SIMAH)[2]	• Audited Financials (minimum 2 full years)[1] • VAT Reports (last 12 months) • Bank Statements (last 12 months) • SIMAH (Company) • Mulim (Personal SIMAH)[2]	• Bank statements covering the uncovered period since last assessment • AFS for the relevant period, if a full year has elapsed since last submission • VAT reports covering the uncovered period • SIMAH report (Company)
Proof of Future Revenue	• Project list covering all active projects • Contracts covering at least 50% of the reported pipeline • Company profile or equivalent documentation evidencing business operations	• At least 3 sales and purchase invoices from the last 3 months • Company Profile or equivalent	• Updated project list if reassessment is after 6 months of utilisation, or if the pipeline is limited • New contracts for any new projects (contractors only)
Compliance & KYC	• Commercial Registration • AOA, including any holding company AOA • VAT Certificate • National Address • GOSI Certificate dated within the last 30 calendar days • Saudization Certificate	• Commercial Registration • AOA, including any holding company AOA • VAT Certificate • National Address • GOSI Certificate dated within the last 30 calendar days • Saudization Certificate	
Output	Complete credit report with risk rating and recommendations	Complete credit report with risk rating and recommendations	Delta report highlighting changes since last assessment

Notes: (1) Muassasa and sub-SAR 10M revenue companies exempt, in-house financials accepted; (2) Where there are more than 5 shareholders, coverage must reach the largest shareholders in descending order until 70% of shares are collectively covered

Revenue Parameters & Validation

Clients must satisfy minimum revenue requirements

	Disqualification Thresholds
Minimum Revenue	• Any client with revenue below SAR 5,000,000 in the last 12-month period is disqualified
Revenue Validation	• Revenue must be verified across both bank statements and VAT reports. The lower figure governs
Variance Across Sources	• Variance between bank statement and VAT revenue must be ≤10% • If variance exceeds 10%, additional documentation must be requested (e.g. cash receipts) • If unresolved, the client is disqualified
Revenue Drop	• Measurement: Prior audited financial statements vs. current bank statements and VAT reports • Disqualification thresholds by client type: **All client types**: Continuous decline >20%/year across three consecutive years **Manufacturers & Wholesale traders**: Revenue decline >40% in one year **Contractors**: Decline of 25–39% combined with a future pipeline below 30% of reported revenue
Revenue Fluctuations & Distribution	• Addresses whether revenue is received consistently across months or subject to seasonality risk • If average monthly revenue in months 1–3 prior to submission is ≤50% of the average in months 4–6, the file is disqualified

Facilities & Leverage

Built with a focus on assessing short-term risk specifically

	Disqualification Thresholds
Leverage	• Any client with leverage above 50% combined with a current ratio below 1.0 is disqualified, in order to minimise short-term risk
Funded Exposure	• Funded outstanding exposure across all lenders as a proportion of total revenue must not exceed 30%; otherwise disqualified
Non-Funded Exposure	• Total outstanding facilities including non-funded exposure as a proportion of revenue must not exceed 50%

Company and Personal SIMAH

Investigation of any previous legal cases, late payments and defaults

	Disqualification Thresholds	
	Company	**Personal**
Active Legal Cases	• Any active legal case against the client results in immediate disqualification, unless a court paper trail demonstrates resolution. (Resolved cases fall under “Closed Legal Cases & Defaults” section)	• Any active legal case against an owner results in immediate disqualification, unless a court paper trail demonstrates resolution
Past Due Obligations	• Any past due obligation results in disqualification, unless proof of payment is provided — either a lender confirmation letter or account statement — in cases where SIMAH has not yet updated	• Personal past due obligation exceeding SAR 5,000 results in disqualification, unless proof of payment is provided
Closed Legal Cases & Defaults	• Any closed case or default within the past 12 months must be investigated. Client must provide justification; failure to do so results in disqualification • Closed defaults within 12 months exceeding 5% of annual revenue or SAR 500,000 (whichever is higher) result in immediate disqualification • Two or more closed legal cases within a 3-month window prior to application result in disqualification	• Closed case or default within 12 months must be investigated; failure to provide court trail results in disqualification • Closed defaults within 12 months exceeding SAR 500,000 results in immediate disqualification • Two or more closed legal cases within a 3-month window results in disqualification • Two or more bounced cheques exceeding SAR 100,000 require authorised justification (official stamps and company documentation); otherwise disqualified
Behaviour Patterns	• Regular repayment delays of ≥10 days (reflected as yellow, orange, or red rings on SIMAH) over the past 3 months result in disqualification	• Any owner holding ≥50% with regular delays exceeding 10 days (yellow, orange, or red SIMAH rings) over the past 3 months results in disqualification

Financial Ratios

Built with a focus on assessing short-term risk specifically

		Financial Thresholds		
		Contractors	Traders	Manufacturers
Gross Profit Margin	Minimum	7%	7%	6%
	Acceptable	8-19%	8-19%	7-19%
	Ideal	20-34%	20-34%	20-34%
	Strong	35%+	35%+	35%+
Net Profit Magin	Minimum	1%	1%	1%
	Acceptable	2.5-7%	2.5-4%	2.5-4%
	Ideal	7-10%	4-10%	4-10%
	Strong	10%+	10%+	10%+
Current Ratio	Minimum	0.8	0.8	0.8
	Acceptable	0.8-0.9	0.8-0.9	0.8-0.9
	Ideal	1.2-1.5	1.0-1.5	1.0-1.5
	Strong	1.5+	1.5+	1.5+

Future Cashflows

Analysis of project pipeline for contractors and revenue concentration for all clients

		Disqualification Thresholds
Project List (applies to Contractors)	**Contract Validation**	• At least 50% of in-progress projects' value must have a corresponding contract. Non-contracted projects are excluded. Letters of intent are acceptable if stamped and approved by the project owner[1] • Mismatches from variation orders (>10%) or scope increases are resolved by documentation authorised and stamped by the project owner • Contract value must match project list value within 10% variance. Where a mismatch exists, the lower figure applies • Contract start date must match the project list. Extensions require an authorised letter; otherwise the project is excluded • Contract must be addressed to the underwritten client. Related-party contracts under different names do not count toward future cashflow
	Income (Receivables) Validation via Bank Statements	• Reported "received" figures must be supported by bank statements within a 3% margin. Where they don't match, the bank statement figure governs • If the amount billed-but-not-received exceeds 20% of a contract's value, that contract is excluded from future cashflow • If the amount billed-but-not-received is above 20% across 3 or more end users, the client is disqualified
	Percentage of Completion	• Where more than 70% of future project values are at ≥70% completion, those projects will not count towards future cashflow

Concentration (applies to all clients)		• Client disqualified if ≥85% of validated future cashflow is concentrated in a single project or end user
		• Client disqualified where all three conditions apply simultaneously:
		  • >65% of future cashflow concentrated in a single end user
		  • Collected receivables from that end user are ≤10% of total billed
		  • The end user has no prior payment history with the client

Notes: (1) Projects with billed values verified through bank statement transactions — where the project owner's trade name matches the project list — are exempt

Reassessment Process

Reassessment for DPD clients imposes additional criteria

DPD	Client profile	Eligibility for Reassessment
1-10 days		• Eligible for standard reassessment

11-29 days	Compliant Client	• May be considered for a new facility only where both conditions are met:
		  • Collections trust score of ≥80
		  • Bank statements confirm a liquidity shortfall around the due date

	Non-Compliant Client	• Trust score below 80, classified as behavioural default: client is disqualified
	With Confirmed Liquidity	• Bank statements confirm ≥200% of due payment was available on the due date: client is disqualified, regardless of trust score
30+ days	Financial Distress (First Facility)	• First-time client at 30+ DPD with validated cash inflow decline is suspended for a minimum of two full quarters from the default date • Reinstatement is not automatic — a full credit reassessment is required
	Wilful Non-Payment	• Client is permanently disqualified where a cash balance equal to or exceeding 150% of the past due amount is confirmed in bank statements as of the original due date

CDC Approval Policy

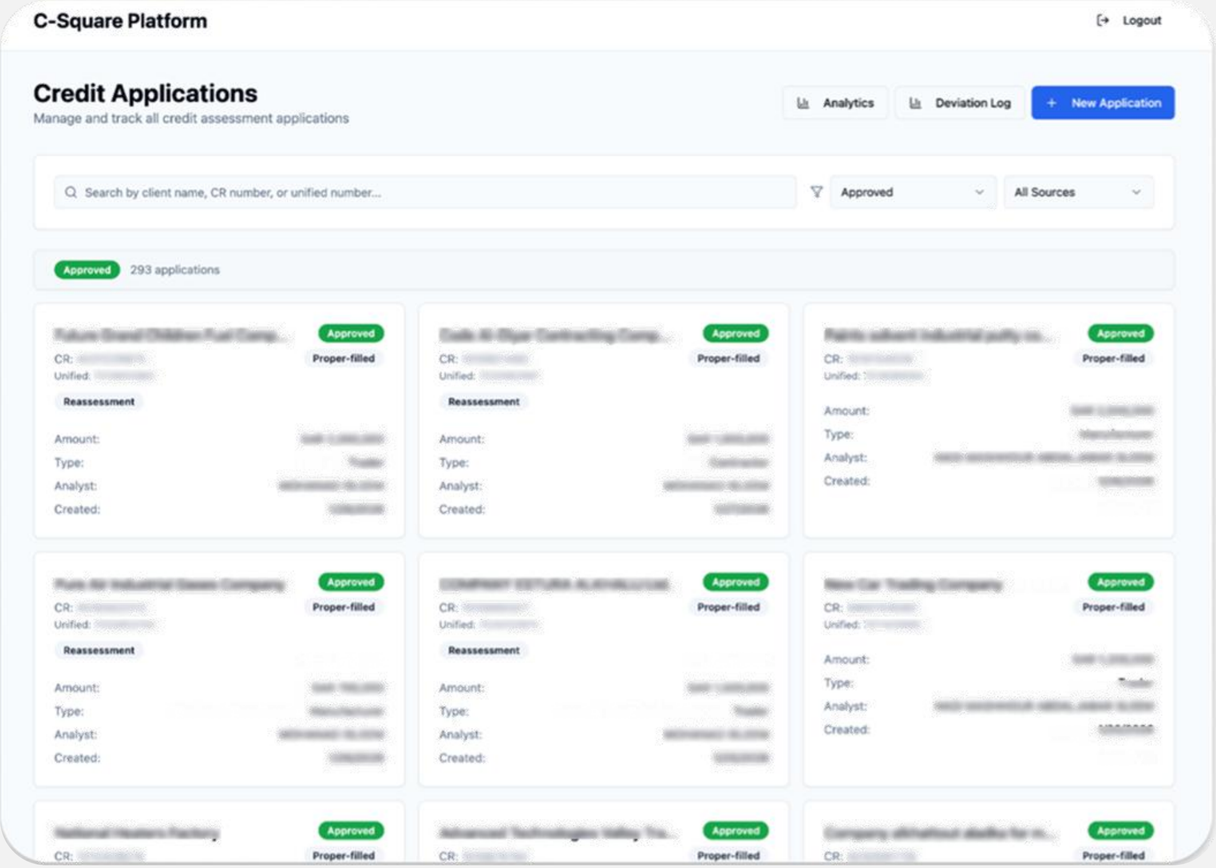
CDC approval is not required for certain disbursement thresholds where deals fully meet our assessment criteria

Exemptions to CDC Approval Policy		
	New Clients	**Uplifting Existing Clients**

Non-CDC Approval / Uplift Threshold	• A new client may be approved without CDC referral only where all three conditions are met:
	  • Proposed facility does not exceed 4% of verified future cashflow
	  • Proposed facility does not exceed SAR 400,000
	  • Application is fully policy-compliant with zero deviations.
	• Where both limits apply, the lower governs
	• **Cap Restriction**: This exemption does not apply where existing exposure is ≥SAR 2,000,000, or where the proposed facility would push total exposure above 7.5% of verified future cashflow
		• An existing client's limit may be uplifted without CDC where all five conditions are met:
		  • Trust score ≥80
		  • Maximum DPD on record ≤5 days
		  • Minimum two consecutive months of instalment history on the current facility
		  • Proposed increase ≤30% of current limit or ≤SAR 250,000 — whichever is lower
		  • Uplift satisfies all reassessment conditions (see previous page)

Escalation Beyond SAR 400,000	• Where underwriting supports a limit above SAR 400,000, the excess portion must be escalated to the CDC. The Credit Lead's full assessment must accompany the submission	

C-Square: Credit Intelligence Platform



What we built:

- Structured dataset including:
  - —Bank inflows
  - —VAT filings
  - —SIMAH data
  - —Financials
  - —Project pipelines

What It Enables:

- AI-driven underwriting model training
- Root cause analysis on defaults
- Historical deal replay capability
- Data moat creation

Dataset compounds in value with every transaction

Basirah: AI-Powered Financial Document Intelligence

Client Analysis

Unique Entities	Total Debit	Total Credit	Total Volume
32	SAR 114,619.01	SAR 268,033.73	SAR 382,652.74

All Clients/Entities Analysis

Total Unique Clients	Top Client Volume	Top 5 Clients	Top Client
32	SAR 239,418.38	85.6% of volume	[illegible]

Showing all 32 clients/entities (sorted by volume):

Client Name	Transactions	Total Debit	Debit %	Total Credit	Credit %	Total Volume	First Date	Last Date	Types
[illegible]	122	SAR 1,809.65	1.6%	[illegible]	88.6%	SAR 239,418.38	2024-10-08	2024-10-16	POS Commission
[illegible]	13	SAR 32,506.90	28.4%	[illegible]	0.0%	SAR 32,506.90	2024-10-08	2024-10-14	ant Transfer, Instant Remittance Issued
[illegible]	7	SAR 0.00	0.0%	[illegible]	11.4%	SAR 30,425.00	2024-10-08	2024-10-14	
[illegible]	17	SAR 20,009.20	17.5%	[illegible]	0.0%	SAR 20,009.20	2024-10-08	2024-10-15	Instant Transfer
[illegible]	2	SAR 5,001.15	4.4%	[illegible]	0.0%	SAR 5,001.15	2024-10-10	2024-10-10	
[illegible]	1	SAR 5,000.00	4.4%	[illegible]	0.0%	SAR 5,000.00	2024-10-12	2024-10-12	
[illegible]	1	SAR 5,000.00	4.4%	[illegible]	0.0%	SAR 5,000.00	2024-10-14	2024-10-14	
[illegible]	2	SAR 4,850.00	4.2%	[illegible]	0.0%	SAR 4,850.00	2024-10-13	2024-10-13	
[illegible]	1	SAR 4,837.00	4.2%	[illegible]	0.0%	SAR 4,837.00	2024-10-08	2024-10-08	
[illegible]	4	SAR 3,611.30	3.2%	[illegible]	0.0%	SAR 3,611.30	2024-10-08	2024-10-08	Instant Transfer Fee, Instant Transfer
[illegible]	1	SAR 3,071.00	2.7%	[illegible]	0.0%	SAR 3,071.00	2024-10-11	2024-10-11	
[illegible]	2	SAR 3,001.15	2.6%	[illegible]	0.0%	SAR 3,001.15	2024-10-10	2024-10-10	
[illegible]	1	SAR 2,800.00	2.4%	[illegible]	0.0%	SAR 2,800.00	2024-10-14	2024-10-14	
[illegible]	2	SAR 2,657.15	2.3%	[illegible]	0.0%	SAR 2,657.15	2024-10-14	2024-10-14	
[illegible]	2	SAR 2,398.15	2.1%	[illegible]	0.0%	SAR 2,398.15	2024-10-14	2024-10-14	
[illegible]	2	SAR 2,254.15	2.0%	[illegible]	0.0%	SAR 2,254.15	2024-10-14	2024-10-14	

- Leverages NER technology to extract and analyse every counterparty across 800+ pages of bank statements per file
- Delivers comprehensive entity intelligence – customer concentration, metrics, business relationship mapping, and transaction pattern analysis

Monthly Inflows

Executive Summary

Total Inflows	Operational	Non-Operational	Total Transactions
SAR 273,033.73	SAR 273,033.73 ↑ 100.0%	SAR 0.00 ↑ 0.0%	85

Category Breakdown

Category	Amount	Percentage
Operational	273033.73	100
Financing	0	0
Inter-Account	0	0
Cash Deposits	0	0
Operating Expenses	0	0
Other	0	0

Monthly Trend

	total_inflows	operational_inflows	transaction_count
2024-10	273033.73	273033.73	85

Top Operational Transactions

date	amount	category	description
2024-10-13	12286.58	POS Revenue	Trading - 021894 00:02:25 10/13 - ترقت :00:06:11** بالمحطة :P1 Term 8154389501001389 10/12 13:53:35
2024-10-09	10386.81	POS Revenue	Trading - 005860 00:02:55 10/09 - ترقت :00:05:09** بالمحطة :P1 Term 8154389501001389 10/08 15:37:57
2024-10-15	9996.65	POS Revenue	Trading - 021054 23:32:31 10/15 - ترقت :23:32:13** بالمحطة :P1 Term 8154389101001388 10/15 11:39:51

- Semi-automatically (currently) classifies all transactions across 800+ page submissions into operational and non-operational categories
- Distinguishes sustainable business revenue from financing, loans, capital injections, and irregular inflows

Collections

Dedicated collections team engages early with the client

Rigorous collections process and proactive, high-touch engagement

Preventive

T-14 days before due date

Relationship Building

- Map key contacts & explain payment process
- Integrate client systems for seamless payments

Payment Facilitation

- Automated SMS & email reminders
- Bank transfer, cheque & online channels

SIMAH Incentives

- Discounts and credit limit upgrades for on-time payers
- Show timely payment impact on SIMAH score

Active

DPD 1 – 60

DPD 1–14 · Collaborative

- Personal calls, site visits, senior management engagement
- Payment plans & documentation support

DPD 15–30 · Assertive

- Formal demands & financial statement review
- Escalate to client senior management

DPD 31–60 · Formal

- Executive-led daily contacts & site visits
- Legal preparation; highlight reputational risk

Legal

DPD 60+

Promissory Note Enforcement

- Verify enforceability; commence legal proceedings
- Identify recoverable assets & collateral

SIMAH Classification

- 150-day NPL notice; 180-day auto-reporting trigger
- Disclose business & personal consequences

Stakeholder Mobilisation

- Relationship managers re-engaged for recovery
- Legal counsel leads enforcement & negotiation

Preventive Collections

-15 to 0 DPD

Purpose

- The first stage of the collections process – goal is to support clients in paying early rather than late through proactive reminders, payment details, and helpful communication
- Tone throughout: supportive, informative, and client-focused

Objectives

- Ensure clients have all necessary payment information well in advance
- Build trust through friendly, helpful communication
- Encourage on-time or early repayment without applying pressure
- Reduce delinquency by removing logistical barriers (missing invoice, unclear amount)
- Catch any early warning flags

Key Principle

Preventive collections is about **care, not correction**. Our goal is to ensure every client has what they need to succeed – before a payment is even due

Communication Schedule

DPD	Communication	Purpose / Tone
-15	WhatsApp Friendly message with relevant invoices and payment schedule	*Primarily informational (FYI) – let the client know everything is in order and accessible*
-7	WhatsApp Explain auto-reporting system and that we care about their experience	*Reinforce reminder is for their convenience, not pressure*
-3	WhatsApp Polite reminder to pay and thank them for their cooperation	*Keep it short and positive – light touch for corporations or busy clients*
-1	Confirm invoice and payment schedule	*If client confirms log as commitment*
0	Reconfirm invoice and payment schedule	*Remind client that today is the due date. If promise to Pay (PTP) given, follow SOP for PTP logging*

Tone & Communication Guidelines

Warmth & Professionalism

Reassurance & Clarity

Help, Not Chase

Active Collections – Action Framework

Process driven by Trust Score classification

Purpose

- Applies once Day 0 passes. Client has already cleared the preventive stage – key facts verified, early signs documented

Client Expectations

- Provide clear repayment commitment – amount, dates, method
- Comply and proactively flag any issues before a date is missed
- Share supporting documents or confirmations for the repayment plan

SOP Approach

- **Good history**: Enablement-first – confirm realistic plan, remove friction
- **Delay / avoidance**: Tighten timelines, increase structure and follow-up frequency

Outcome

Secure a **documented, time-bound commitment** and ensure execution – accelerating recovery while reducing time lost to non-committal behaviour

Action Matrix – by DPD and Trust Score category

Trust Score	Phase A | 0-3 DPD	Phase B | 4-7	Phase C | 8-14	Phase D | >14
Green (5)	• Friendly reminder • Accept commitment ≤7 days	• Commitment ≤3 days • Bank Statement only if more time requested	• Commitment ≤1 day • Bank Statement if asking for more time	• Immediate visit • Legal / PN preparation • Balance Sheet required
Amber (4)	• Payment within 5 days • Commitment ≤5 days • Bank Statement if more time needed	• Commitment ≤3 days • Bank Statement required for extension >3 days	• Bank Statement required for any extension • Max ≤5 days	
Red (3)	• Short commitment ≤4 days • Bank Statement required for any extension	• Only commitment ≤3 days • Bank Statement required for any extension	• Bank Statement required • Max extension ≤3 days	
Critical (1-2)	• Payment within 48h • Bank Statement required for any extension	• Payment in 48h • Bank Statement mandatory • Escalate if no Balance Sheet	• Immediate partial • Full within 48h • Start escalation prep • Bank Statement required	

Bank Statement Rules – Liquidity vs Due Amount

≥100%	70-99%	30-69%	<30%
Full payment immediately	50-75% partial now & short extension	20-40% partial now & 5-7 day extension	Short deferral & review in 7 days

Active Collections – Field Protocols & Guidelines

Escalation protocol designed to maximise recovery

Unreachable Clients Protocol

1 Primary Contact
Call registered contact
No response → WhatsApp

2 Secondary – PN Signatories
Call PN signatories on file
No response → WhatsApp

3 Internal Escalation
Inform Sales & Credit – request alternate contacts
Continue reaching out WhatsApp

4 Supplier Outreach – 48h Rule
If no response in 48h, call the associated supplier
Attempt to obtain additional client contact details

5 Case Categorisation
Micro: High-touch persistence → WhatsApp
Normal: Trigger a visit request

Client Labelled Unresponsive after:

- All channels exhausted for all available contacts
- A supplier enquiry has been made
- The 48-hour rule has passed with no reply

Client Visits

Visits are a selective escalation tool. Two triggers only:

1. **Client is unreachable** after full contact escalation
2. Client has **broken 2+ commitments**

Location guidelines:

Client based in Riyadh:
Considered low-cost – arrange whenever escalation reaches "visit required"

Client based outside Riyadh:
Requires cost-benefit analysis based on amount and stage

Operations Lead approval required before any visit

Report covering interaction, outcome and next steps filed within 24h post-visit

Escalation reporting

Any escalation reported to Operations Lead and added to pre-Legal Notion page, including: timeline, SOP steps followed, current status and proposed next action

Systems Usage

Metabase: Checked daily for new tickets and case inflows

Books: Validation of invoices, statements, and all financial details

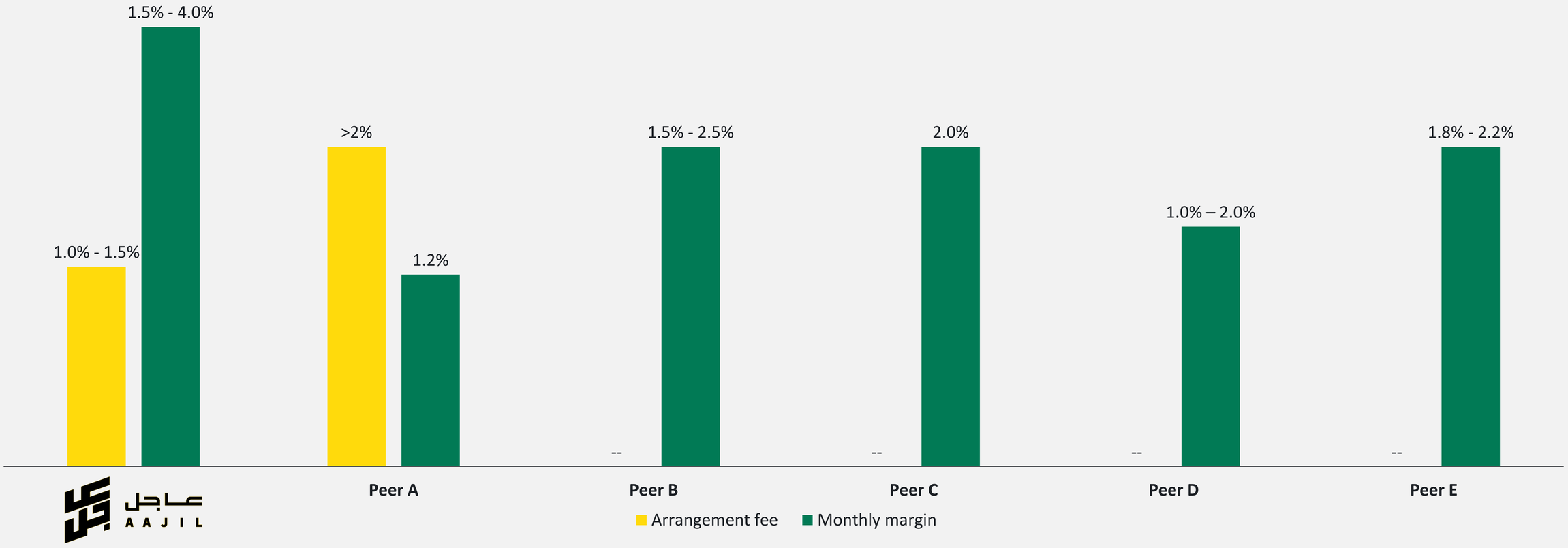
CRM: All calls and commitments logged in CRM

Notion: High-level payment behaviour, current band, red flags

Credit Book Performance

Our Financing Carries a Premium…

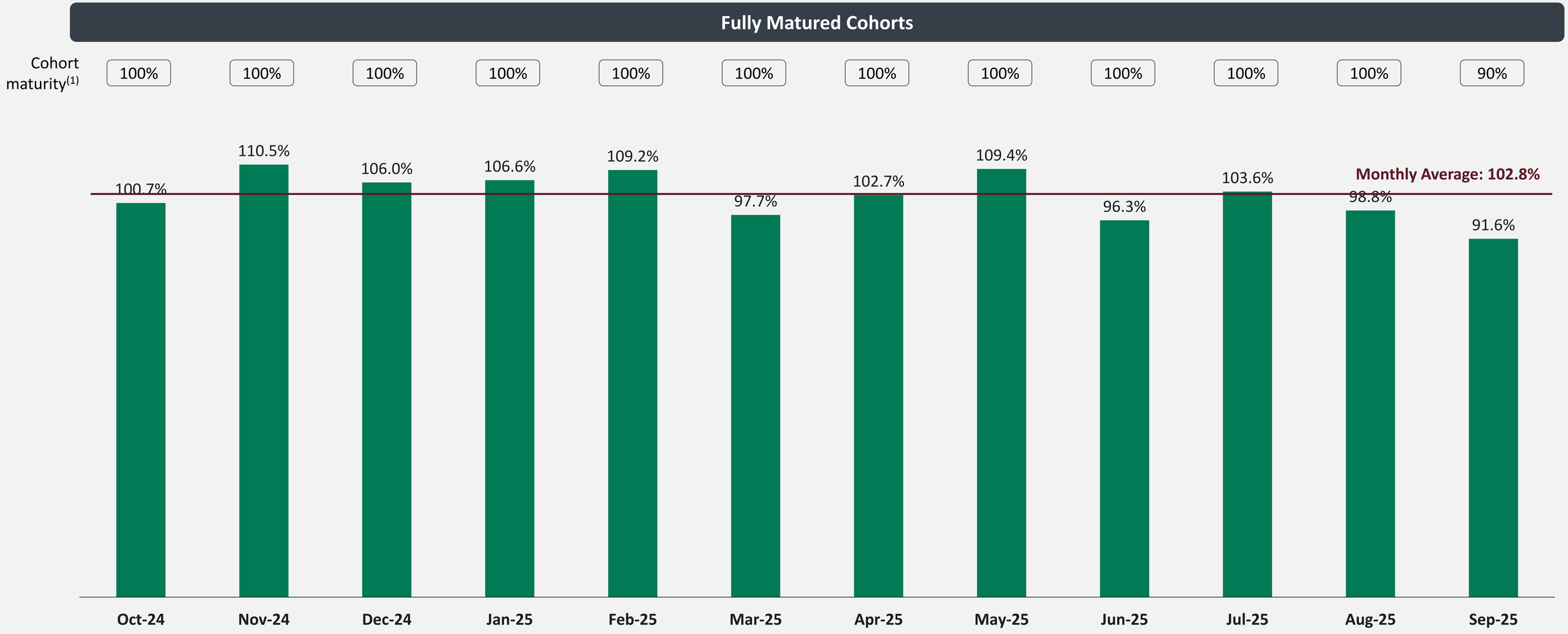
Fee Benchmarking



Source: Cascade

…so Fees Offset Collections Shortfalls in Weaker Months…

Collections performance (Principal + our monthly margin and admin fee) by cohort

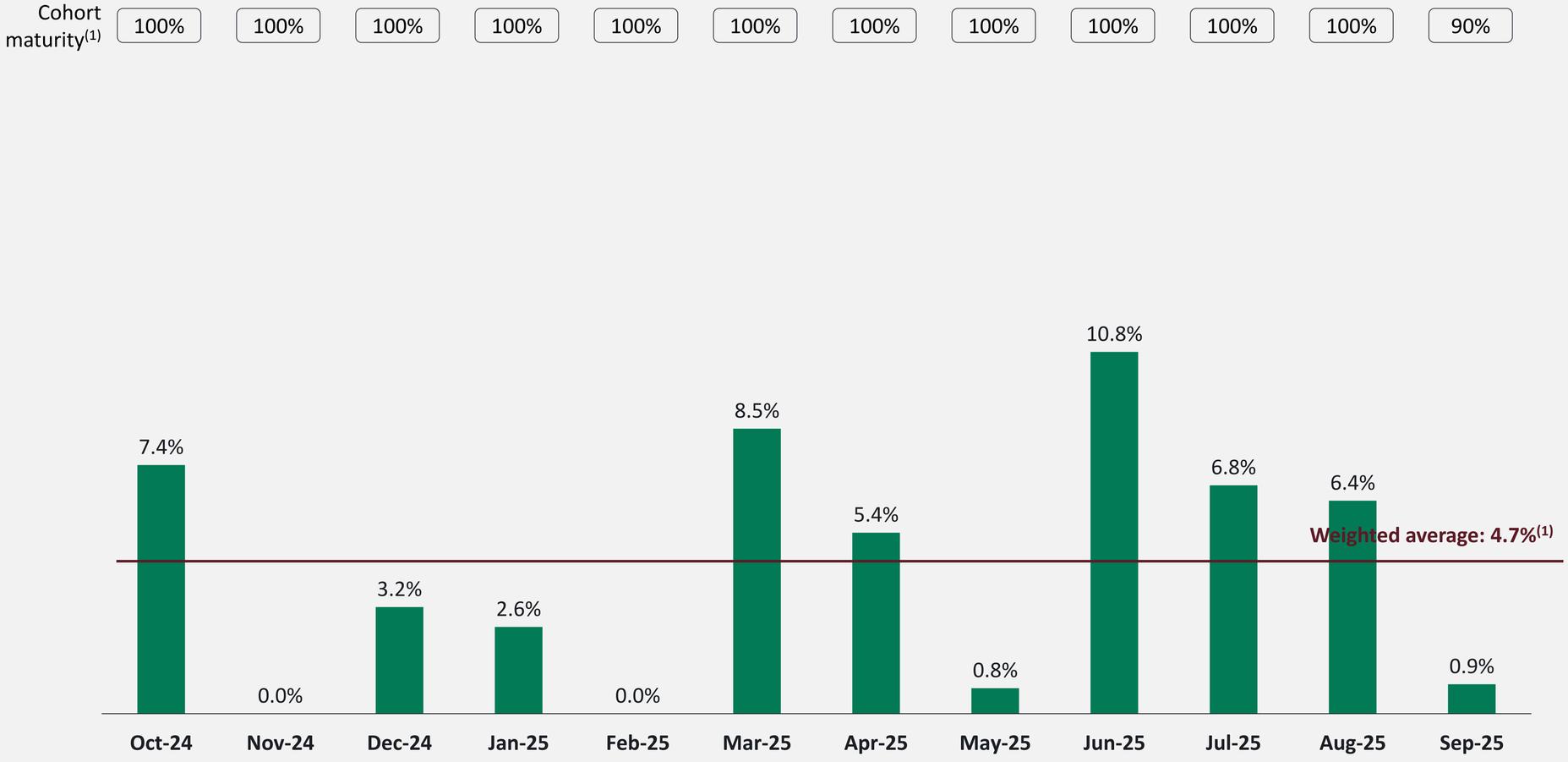


Source: Cascade

…Providing a Substantial Buffer against NPLs

2025 DPD60+ Rates

Fully Matured Cohorts



Commentary

Credit Structure: Repayment in instalments

- Instalment repayments allow early assessment of customer repayment behaviour, enabling us to identify risk quickly and restrict future financing if initial payments are missed.

Credit risk lead analyst

- We have an experienced Credit Risk Lead with over 14 years of diverse experience in the banking and finance sectors across the UAE , Palestine and KSA

Collections team

- Since 2024, we have built a dedicated collections team operating under internally developed guidelines and supported by a proprietary Customer Trust Score framework

Corporate promissory notes with personal guarantees

- We secure both corporate and personal promissory notes, significantly strengthening enforceability. Upon execution, borrowers face restrictions on personal and corporate bank accounts, government services, and travel, creating strong incentives for timely repayment

Source: Cascade

Note: Numerator excludes VAT but denominator includes VAT when calculating DPD rates because VAT is guaranteed by the government; (1) Calculated as the sum of DPD 60+ nominal amounts (excl. VAT) divided by the sum of total capital deployed (incl. VAT)